

Deed of Agreement

CONTRACT CLAUSES EXTRACT

3. SECURITY

3.1 Security Bonds

- (a) On or before the Conditions Precedent Deadline Date, the Service Provider must provide to TfNSW Security of [], in the form of two Security Bonds each for an amount of [].
- (b) The Service Provider must pay all costs (including stamp duty or other taxes) of and incidental to providing the Security.
- (c) The Service Provider must ensure that the Security remains valid and enforceable until such date as TfNSW is required under this document to return the Security to the Service Provider.

3.2 Requirements for Security Bonds

Each Security Bond must be:

- (a) in the form of Schedule 19 or as otherwise approved by TfNSW;
- (b) in favour of TfNSW;
- (c) given by a financial institution acceptable to TfNSW that is regulated by the Australian Prudential Regulation Authority and maintains the Mandatory Credit Rating;
- (d) payable at an office of the bank or financial institution in Sydney (or such other place as TfNSW may approve); and
- (e) a continuing liability without expiry or, if the Security Bond is to have an expiry date, such date must be no earlier than the Original Expiry Date.

3.3 Recourse to Security

TfNSW may have recourse to any Security provided by the Service Provider under this

document:

- (a) when TfNSW has a bona fide claim against the Service Provider arising out of or in connection with this document or the performance of the Services by the Service Provider; or
- (b) upon termination of this document under clause 41.

3.4 Return of Security

(a) Subject to its rights under this document, including any right of setoff, TfNSW must return the Security in accordance with this clause 3.4.

(b) TfNSW must return 50% of the Security then held to the Service Provider within 40 Business Days of the latest of:

- (i) the end of the Contract Term; and
- (ii) the completion of the Demobilisation and Handover Services.

(c) Within 40 Business Days of the date which is 12 months after the end of the Contract Term, TfNSW must return the balance of the Security to the Service Provider less the amount that TfNSW determines, in its absolute discretion, as being required as security for:

- (i) all Project Works that have not achieved Completion;
- (ii) all Defect Liability Periods that have not yet expired for Project Works;
- (iii) the performance by the Service Provider of its obligations under clause 45.5;

and

(iv) the performance of any Services that are required to be performed by the Service Provider after the expiry of the Contract Term under clause 7.2(b)(ii).

(d) TfNSW must return any remaining Security to the Service Provider within 40 Business Days of the later of:

- (i) the expiry of all Tactical Works Defects Liability Periods;
- (ii) the expiry of all Defect Liability Periods for Project Works;
- (iii) rectification of all Defects notified to the Service Provider in accordance with

the Work Terms; and

(iv) completion of any Services that are required to be performed by the Service Provider after the expiry of the Contract Term under clause 7.2(b)(ii).

(e) If this document terminates under clause 1A.3 or clause 2.6, TfNSW must return the

Security to the Service Provider within 20 Business Days of such termination.

3.5 Replacement of Security

(a) Not less than 30 Business Days before:

- (i) the expiry of any Security Bond; or
- (ii) TfNSW is required to return any Security under clause 3.4 or 42.4,

the Service Provider must procure the issue to TfNSW of a Security Bond which:

(iii) has a face value equal to the amount of Security that TfNSW is entitled to hold in accordance with clause 3.1, 3.4 or 42.4(b), as applicable;

(iv) satisfies the requirements of clause 3.2 (other than clause 3.2(e)); and

(v) is a continuing liability without expiry or, if the Security Bond is to have an expiry date, such date must be no earlier than 12 months from the date of issue of the replacement Security Bond,

and TfNSW must promptly surrender the relevant Security Bond to the Service Provider following the issue of the replacement Security Bond.

(b) If the Service Provider fails to replace any Security Bond when required under clause 3.5(a), TfNSW may have recourse to the Security. TfNSW may hold any such proceeds as security in lieu of the replacement Security Bond until the Security Bond is replaced in accordance with clause 3.5(a).

(c) If the issuer of any Security Bond ceases to have the Mandatory Credit Rating, the Service Provider must:

- (i) promptly notify TfNSW of that circumstance; and
- (ii) within 15 Business Days of being requested to do so, procure the issue to

TfNSW of a replacement Security Bond which must have a face value equal to that of the Security Bond being replaced and must satisfy the requirements of clause 3.2,

and TfNSW will promptly surrender the Security Bond being replaced to the Service Provider following the issue of the replacement Security Bond.

3.6 No injunction

The Service Provider must not institute any proceedings, exercise any right or take any steps to injunct or otherwise restrain:

- (a) the issuer of a Security Bond from paying TfNSW pursuant to that Security Bond;
 - (b) TfNSW from having recourse to the Security or receiving payment under the Security; or
 - (c) TfNSW from using the proceeds of the Security,
- even when the Service Provider disputes TfNSW's right to have recourse to the Security or to payment (including where the dispute resolution procedure in clause 37 has been commenced).

3.7 Deed of Guarantee and Indemnity

- (a) On or before the Condition Precedent Deadline Date, the Service Provider must provide to TfNSW Deeds of Guarantee and Indemnity duly executed by:
 - (i) Lendlease Construction International Pty Ltd (ABN 86 609 215 732);
 - (ii) Boral Construction Materials Limited (ABN 70 000 614 826); and
 - (iii) Tyco International Security Group Pty Limited (ABN 55 148 170 003).
- (b) Within 30 Business Days of the Commencement Date, the Service Provider must:
 - (i) replace the Deed of Guarantee and Indemnity provided under clause 3.7(a)(iii) with a Deed of Guarantee and Indemnity in a form, and duly executed by an entity, acceptable to TfNSW; and
 - (ii) provide to TfNSW a legal opinion in a form and substance satisfactory to TfNSW, regarding the validity and enforceability of the Deed of Guarantee and Indemnity provided under clause 3.7(b)(i)
- (c) Upon TfNSW's written notice that it accepts the replacement Deed of Guarantee and Indemnity and legal opinion in accordance with clause 3.7(b), the parties agree to terminate the Deed of Guarantee and Indemnity provided under clause 3.7(a)(iii).

10. CHANGES

10.1 TfNSW may direct Changes

- (a) TfNSW may direct a Change in writing at any time during the Contract Term, and the Service Provider must comply with such direction.
- (b) Without limiting the generality of clause 10.1(a), the Service Provider acknowledges and agrees that during the Contract Term TfNSW may direct a Change which arises

out of or is connected with any road or other projects commissioned by TfNSW or any other Authority and the Service Provider must comply with such direction.

10.2 Proposed Changes

(a) If requested by TfNSW, the Service Provider must advise TfNSW in writing of:

- (i) the cost and quality implications (if any) of a proposed Change; and
- (ii) any other effect on the Services or on any matter specified by TfNSW,

within the time specified in the request.

(b) In advising TfNSW of its effect on the Services, the Service Provider acknowledges its responsibilities under clause 10.4.

10.3 Valuation of Changes

(a) TfNSW's Representative will value and determine the effect of a proposed Change using the following order of precedence:

- (i) prior agreement between TfNSW and the Service Provider;
- (ii) rates or prices specified in the Pricing Schedule; and
- (iii) reasonable rates or prices determined by TfNSW's Representative.

(b) A Change will not result in any increase or decrease to the amount payable to the Service Provider in respect of Program Management unless and until the cumulative impact of all Changes in the relevant Works Period has caused the value of the Services (other than Program Management) required for the relevant Works Period to fall above or below the range specified in section 10.04.01 of the Pricing Schedule.

(c) The Service Provider must not implement any proposed Change until:

- (i) the parties have agreed on its cost, time and quality implications and other effects (if any) on the Services; or
- (ii) TfNSW directs the Service Provider to proceed under clause 10.1.

(d) If TfNSW has directed a Change under clause 10.1 and the parties have been unable to agree the value and effect of the Change or the Service Provider disagrees with the determination of TfNSW's Representative under this clause 10.3:

- (i) the Service Provider must implement the Change if directed to do so by TfNSW; and
- (ii) either party may refer the matter for resolution under clause 37.

10.4 Carrying out a Change

In carrying out a Change, the Service Provider must:

- (a) carry out any additional work associated with the Change concurrently with other work wherever possible; and
- (b) otherwise minimise the effect of the Change on the carrying out of the Services.

10.5 Claim for Change by the Service Provider

- (a) Regardless of any other provision of this document, if the Service Provider considers that a Change applies but TfNSW has not directed a Change, the Service Provider may, by notice in writing to TfNSW, make a claim within 10 Business Days from the occurrence of the event giving rise to the Change, or from the time when the event should have become known to the Service Provider with reasonable diligence on its part.
- (b) If an event that is the subject of a notice issued by the Service Provider under clause 10.5(a) constitutes a Change, such Change will be valued under clause 10.3.

10.6 Pre-Agreed Change

- (a) TfNSW may in its absolute discretion, direct by way of Change any Pre-Agreed Change described in:

- (i) section 1 of Schedule 24; or
- (ii) the Tactical Asset Management Plan,

by giving written notice to the Service Provider by the applicable date specified in section 1 of Schedule 24 or in the Tactical Asset Management Plan.

- (b) TfNSW and the Service Provider agree that if TfNSW directs the Service Provider to carry out a Pre-Agreed Change under clause 10.6(a) by the relevant dates specified in section 1 of Schedule 24 or in the Tactical Asset Management Plan, this document will be deemed to be amended to include the relevant amendments set out in section 1 of Schedule 24 or in the Tactical Asset Management Plan from the date the Service Provider receives such notice until the expiry of the relevant Works Period (or such other period specified in the notice issued by TfNSW).

- (c) Where TfNSW directs a Pre-Agreed Change under clause 10.6(a), the Service Provider, in respect of that Pre-Agreed Change:

(i) must carry out its obligations under this document as amended by clause 10.6(b); and

(ii) acknowledges that the payments contemplated by section 2 of Schedule 24 or the Tactical Asset Management Plan (as applicable) will be full compensation for any cost, loss, damage or delay it suffers or incurs arising out of or in connection with the issue of such notice.

(d) TfNSW may direct a Change under clause 10.1 that involves the same (or similar) changes to the Services as a Pre-Agreed Change after the relevant date for giving notice of the Pre-Agreed Change specified in section 1 of Schedule 24 or in the Tactical Asset Management Plan.

(e) If TfNSW takes the action described in clause 10.6(d), the Change will be valued in accordance with clause 10.3.

10.7 Omissions

If TfNSW directs a Change decreasing or omitting any work or services from the Services:

(a) TfNSW may thereafter either perform such work or services itself or employ or engage another person or persons to do so; and

(b) TfNSW will not be liable in respect of any Claim by the Service Provider as a result of any work or services being omitted or deleted from the Services whether or not TfNSW thereafter performs such work or services itself or employs or engages another person or persons to do so.

10.8 Change Events

(a) If the Service Provider considers that a Change Event has occurred, the Service Provider may, by notice in writing to TfNSW, make a claim within 5 Business Days from the occurrence of the Change Event, or from the time when the Change Event should have become known to the Service Provider with reasonable diligence on its part. Any notice issued by the Service Provider under this clause 10.8(a) must include details of the Change Event.

(b) As soon as practicable but no later than 15 Business Days after the issue of notice under clause 10.8(a), the Service Provider must provide TfNSW with details of:

(i) the impact of the Change Event on:

(A) the Services;

(B) the cost to the Service Provider of providing the Services; and

(C) the program for provision of the Services, including any Milestone; and

(ii) any other matters that the Service Provider considers relevant or are required by TfNSW.

(c) Following receipt of the information under clause 10.8(b) and subject to clause 10.8(f), TfNSW's Representative will determine the value and effect of a Change Event in accordance with clause 10.3(a) and having regard to the Change Benchmarking Guide.

(d) If the parties are unable to agree the value and effect of a Change Event or the Service Provider disagrees with the determination of TfNSW's Representative under clause 10.3(a) either party may refer the matter for resolution under clause 37.

(e) The Service Provider must take all reasonable steps to avoid or minimise the consequences of any Change Event.

(f) If the Change Event is a Qualifying Change in Codes and Standards, the Service Provider is only entitled to a Change if, after the Service Provider has provided TfNSW with the details required by clause 10.8(b), TfNSW's Representative directs the Service Provider in writing to comply with the relevant Qualifying Change in Codes and Standards for the remainder of the relevant Works Period.

10.9 Change register and contract updates

(a) TfNSW will:

(i) maintain a register of all Change orders and other variations or amendments to this deed which may be agreed between the parties (Change Register);
and

(ii) provide the Service Provider with a copy of the current Change Register on a quarterly basis or whenever otherwise requested by the Service Provider.

(b) At the end of each Works Period or at other times agreed between the parties, TfNSW and the Service Provider must:

(i) jointly review the Change Register;

(ii) update this document (including these contract terms and any relevant Schedules and Exhibits) to reflect and consolidate all Change orders that have

been directed by TfNSW and any other variations or amendments to this deed that have been agreed between the parties during the relevant Works Period;
and

(iii) enter into an amending deed to implement the updates and amendments referred to in clause 10.9(b)(ii).